

9708/11/m/j/19

1-C:

Infrastructural development for example: road, rail links represent “capital” that are human-made resources used to enable the production process.

Skilled civil engineers represent labor, that defines the physical and mental effort of workers

This is why ,option C, labor and capital becomes correct

2-C:

- A- Insufficient “consumer goods” in the local shops does not represent “limited resources”
- B- Insufficient “job opportunities” does not even represent “ limited resources or factors of production”.
- C- Insufficient machinery to produce electrical goods represent “shortage of factor of production, that is :capital”
- D- Insufficient tax revenue does not represent limited resources either as resources here imply factors of production: for example: land, labor , capital and enterprise.

3-D:

A: An increase in the rate of income tax decreases the wish to save ,**as because of “lower disposable incomes”, individuals would have less to save. This is a positive statement as this is based on a factual observations or evidence that can be tested through empirical evidence.**

B: An increase in the level of income tax has a greater impact , the greater the level of income as individuals who have higher incomes, will feel that a greater proportion of their incomes is paid in tax. **This is a positive statement as this is based on a factual observations or evidence that can be tested through empirical evidence.**

C: This statement is incorrect as the increase in the rate of income tax creates disincentive effects as people will be “less willing to work”

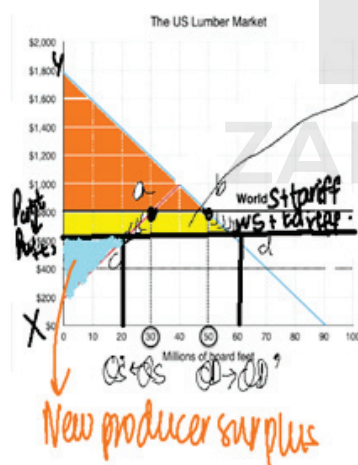
D: This statement, that says that “an increase in the income tax” is the fairest way to finance the “national health service”, is a normative statement because it contains a value judgement or an opinion. This is why, this becomes correct

4-C:

Point “X” that is a point inside the PPC curve represents an “un-attainable point” that represents “scarcity” hat a particular combination output cannot be produced using given resources.

- A- A lower ratio of capital to consumer goods being necessary to achieve economic growth(we need higher capital goods relative to consumer goods in the short-run to achieve economic growth) is not represented through the point outside of the PPC curve.
- B- Increasing levels of unemployment is instead demonstrated through the point inside the PPC, that is, the actual moving closer to the origin.
- C- Availability of “insufficient factors of production” represents “availability of limited resources”, which means that the desired output combination cannot be achieved, representing the “unattainable point”, therefore making this correct.
- D- Too many consumer goods being produced can only be demonstrated through “a movement along the PPC”

5-A:



Rise in consumer surplus

$$\begin{aligned} \text{Old CS} &= P_w + t \cdot y_b \\ \text{New CS} &= P_w + t \cdot y_d \end{aligned}$$

A rise in consumer surplus by

$$P_w + t \cdot y_d - P_w + t \cdot y_b$$

$$\begin{aligned} \text{Old P.S} &\Rightarrow P_w + t \cdot a \cdot x \\ \text{New P.S} &\Rightarrow P_w + t \cdot c \cdot x \end{aligned}$$

A fall in producer surplus

6-B:

The price line of P1 represents 'minimum price' since it is the price above the equilibrium price

A-Because of a minimum price, shortages do not develop.

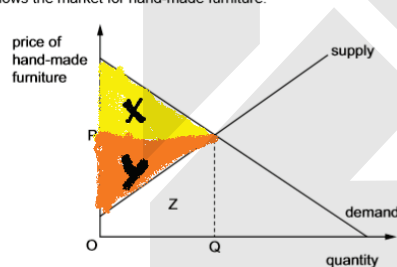
B-As a result of minimum price legislation that represents that at least a certain level of prices should be maintained, quantity supplied extends, and quantity demanded contracts, thereby resulting in surplus, thus making this correct.

C-Even though quantity supplied of carrots would extend as a result of minimum prices, the sales of carrots may decrease because of a contraction in quantity demanded, which becomes the new qty traded.

D-Market clearing only occurs at the equilibrium price. In this case, the market will fail to clear, leaving behind a surplus of carrots.

7-C:

7 The diagram shows the market for hand-made furniture.



Which area of the diagram represents the producer surplus?

- A area X ☒ *producer surplus + consumer surplus*
- B area X + Y ☐
- C area Y ☒ *producer surplus*
- D area Y + Z ☒ *Total Revenue*

X → Area above the price level, and below the demand curve, representing 'consumer surplus'.

Y → Area below the price level, and above the supply curve, represents 'producer surplus'.

8-A:

A: Market supply is the horizontal aggregation of the supply curves of all firms producing the product, thus making this correct.

B: Averaging the supply of all firms producing the product does not give "market supply".

C: Calculating the supply of one firm producing the product does not give "the market supply"

D: Estimating the supply of the largest firm producing the product does not give “market supply” either

9-D:

- A- A decrease in “air travel” that is the substitute good , would cause an **increase** in the “demand for luxury cars”
- B- An increase in advertising campaigns would again cause a rise in the “demand” for luxury cars
- C- An increase in incomes would again contribute to a rise in demand for “luxury cars”, considering that it is a “normal good”.
- D- An increase in the price of petrol would cause a “fall in demand for luxury cars” ,because there is a negative relationship between the price of one good and demand for another in case of complements. **This is why, this option becomes correct**

10-D:

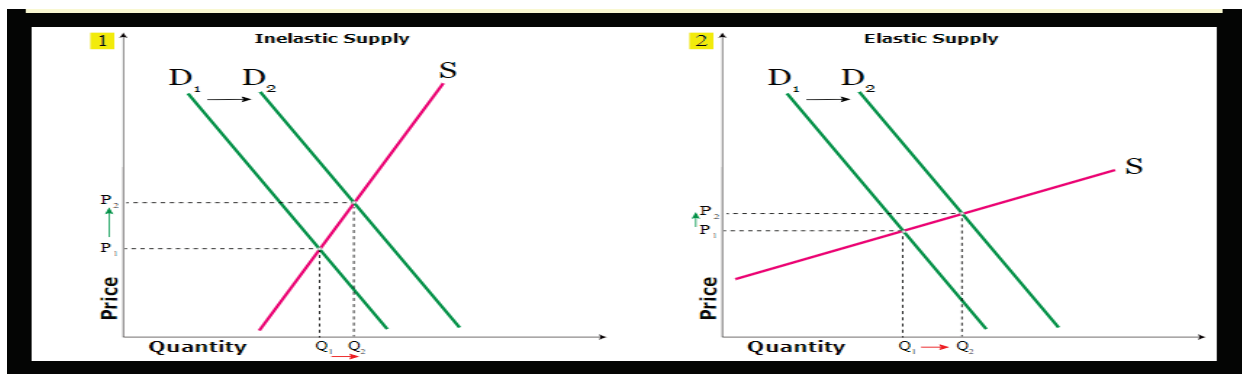
- A- Cross elasticity of demand measures the responsiveness of a percentage change in qty demanded of good A to a percentage change in the price of good B. **It is not the responsiveness of price of good X to a change in qty demanded of good Y**
- B- The responsiveness of quantity demanded of a good due to changes in its prices represents PED.
- C- The responsiveness of qty demanded of good X due to a change in the qty demanded of good X is again not cross elasticity of demand
- D- The responsiveness of qty demanded of good X due to a change in the price of good Y does represent XED, **making this correct.**

11-C:

When the “**nature of the product**” is that the product is a normal good , or in other words, a superior good, which is luxurious in nature, a rise in incomes would lead to **an increase in the demand of “normal good.”**

Similarly , if the supply is price elastic, representing a higher responsiveness of supply in response to changes in prices ,the extension in qty supplied or equilibrium qty would be by a relatively higher percentage , as compared to if “it was inelastic”

This means that qty sold would rise by most, making C the answer .This can be seen in the diagram below.

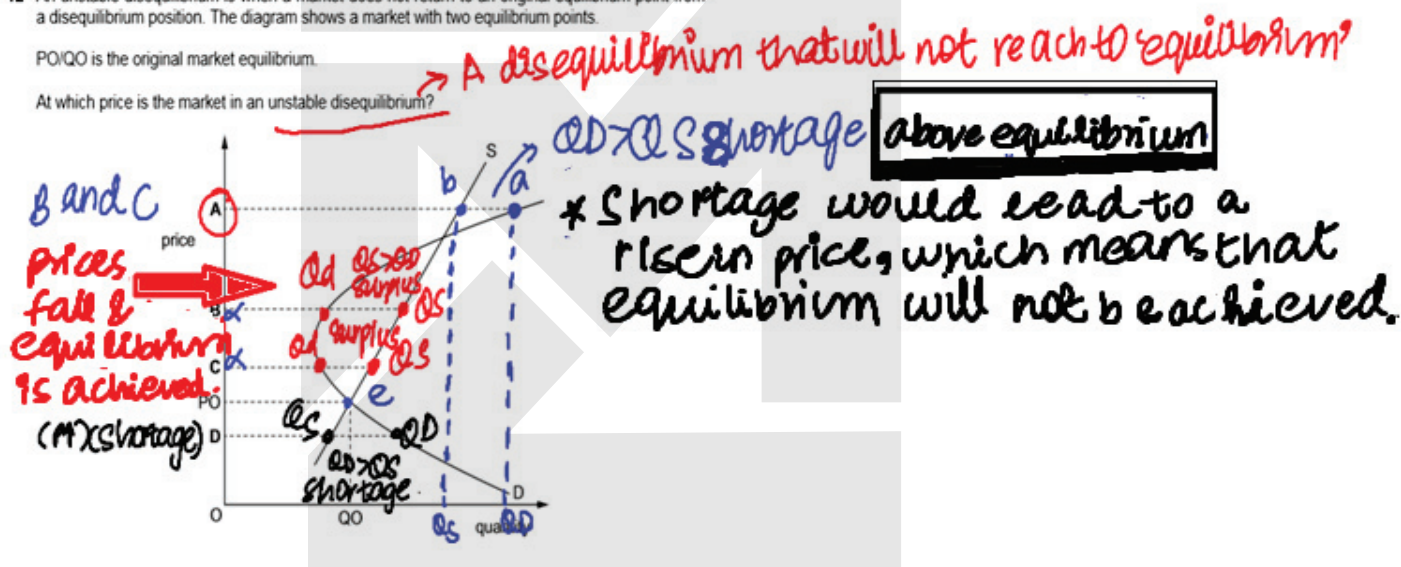


12-A:

- 12 An unstable disequilibrium is when a market does not return to an original equilibrium point from a disequilibrium position. The diagram shows a market with two equilibrium points.

PO/QO is the original market equilibrium.

At which price is the market in an unstable disequilibrium?



13-C:

- 13 The table shows the quantity of a product supplied at two different prices by four firms, A, B, C and D.

Which firm has a price elasticity of supply equal to 1 when the price falls from \$10 to \$8?

	price of product (\$)	
	10	8
A	500	300
B	500	350
C	500	400
D	500	450

$\% \text{ change in price} \rightarrow -20\%$
 $\% \text{ change in } Q_S \rightarrow -40\%$
 $\% \text{ change in } Q_S \rightarrow -30\%$
 $\% \text{ change in } Q_S \rightarrow -20\%$
 $\% \text{ change in } Q_S \rightarrow -10\%$

$$P_{ES} = \frac{\% \text{ change in } Q_S}{\% \text{ change in price}} = \frac{-20\%}{-20\%} = +1$$

$$\% \text{ change} \Rightarrow \frac{\text{New} - \text{Old}}{\text{Old}} \times 100$$

14-A:

A: This is correct to say that the “original budget deficit reduced” as it can be seen that the government reduced its spending, which contributed to a “fall in budget deficit”

B: We cannot say that the budget surplus is being reduced, **firstly because, it can be seen that , the financial position was not good.**

C and D: The question says that “the economic growth did not reduce”

If consumer expenditure would have declined, Aggregate demand would have fallen , leading to a fall in economic growth

Secondly, if public sector productivity would have declined ,there would have been a rise in costs and in turn a fall in Aggregate supply causing a fall in economic growth.

15-C:

A: Due to government’s attempts to build more houses for poorer families and fixing the rent below the market price, representing “maximum price legislation”, this may create shortage or an imbalance in the market of **public housing and “not private housing”**

Option C:As it can be seen that the supply has been increased by 10 % ,when the shortage was of 20%, this means that there will be shortage or excess demand of 10%, representing that there is still shortage or excess demand of 10%, **making option C correct(meaning that the supply of government housing will fall short of demand).**

This means that there will be greater waiting lists (**thus making option B incorrect as well**)

Option D: This is incorrect as the supply would increase by 10% rather than decreasing.

16-D:

A: A privatized industry is not less competitive than a nationalized industry, instead it has the potential to be more “competitive” ,as there are greater competitive pressures that private sector firms are faced with.

B: This is incorrect as a “profitable privatized industry can be nationalized”

C: No, this is incorrect as “privatization” is a supply side policy.

D: Privatization means that the government sells state owned businesses to private sector firms, which also “raises revenues for the government”

17-B:

A: This statement is true about subsidies **since they are paid by the government to firms.**

B: No, although subsidies or grants may have “strings attached” as governments may expect firms to operate in areas of high unemployment for example, but they do not have to be paid back. **This is a statement which is not true, therefore this option becomes correct.**

C: Subsidies are financial incentives: cash or a grant payment given by the government to firms which reduces their “cost of production”, making this statement true about subsidies.

D: Yes, this is true as well as after reducing costs of production, subsidies increase supply and in turn “shift the supply curve rightwards”

18-D:

- A- Increase in the provision of public goods will lead to “consumer non-excludability” as they are non-excludable , which means that payment by one individual does not restrict others from consuming them, even the non-tax payers get to consume them, for example, streetlights
- B- Government’s decision to provide public goods will lead to the market failure arising from “non-provision of public goods” by the private sector firms to be rectified, representing “an improved usage of resources”
- C- There is an opportunity cost involved in provision of public goods as the funds used could have been used elsewhere for example: in the provision of healthcare and education.

- D- This is unlikely to occur , as taxes will “most likely increase to provide public goods”, making this correct

19-C:

We are interested in an option that causes a fall in Aggregate demand

- A- A decrease in budget surplus involves the government increasing its public expenditures, which when increase “injections” in to the circular flow, lead to a rise in Aggregate demand ,making this incorrect.
- B- Consumption of domestic goods would cause a rise in consumption expenditures and in turn a rise in “Aggregate demand”.
- C- Government campaigns to encourage household savings would lead to a rise in savings as a proportion of household disposable incomes, causing a fall in spending and in turn consumption, leading to a fall in Aggregate demand, making this “option correct”.
- D- Again, investment in knowledge-based enterprises when increases “investment expenditure”, causes a rise in Aggregate demand .And this also increases Long Run Aggregate Supply.

20-B:

- A- Advances in technology would lead to a rise in the “productive potential” causing a rightward shift in the Long Run Aggregate supply curve.
- B- A change in nominal wage rate, for example, a rise in nominal wages would increase costs and in turn cause a fall in **the short run Aggregate supply , making this correct.**
- C- The emigration of people of the “working age” would lead to net-emigration as more people would be leaving the country rather than entering it, and when people of working age emigrate, this leads to a fall in productive potential and in turn long run Aggregate supply.
- D- When gross investment exceeds depreciation, this would lead to gross capital formation, which would again cause a rise in LRAS.

21-D:

Inflation is defined as a sustained increase in the general price level of goods and services over time. It can have various effects on different groups of people in the economy. One of these effects is the redistributive effect of inflation.

The redistributive effect of inflation refers to the way in which inflation can redistribute wealth and income among different groups in the economy. In particular, inflation tends to reduce the real value of fixed incomes, such as wages, pensions, and savings. This means that people on fixed incomes, such as retirees, may experience a loss of purchasing power as their incomes are not adjusted for inflation.

Now let's go through each option:

A- The improvement in terms of trade: The improvement in terms of trade refers to the ratio of export prices to import prices. It is not **a redistributive effect of inflation**, and is therefore not the correct answer.

B- The increased reluctance of people to hold money: This is known as the "shoe leather" cost of inflation, which refers to the costs that arise from holding less money due to inflation. This cost is generally seen as a waste of resources, but it is not necessarily redistributive, as it affects all people equally. Therefore, this option is not the correct answer.

C- The inconvenience of frequently changing prices: This is known as the "menu" cost of inflation, which refers to the costs that arise from having to adjust prices frequently due to inflation. This cost is also generally seen as a waste of resources, but it is not necessarily redistributive, as it affects all firms equally. Therefore, this option is not the correct answer.

D- The loss of purchasing power of people on fixed incomes: This is the correct answer, as explained above. Inflation reduces the real value of fixed incomes, which can be seen as a redistribution of wealth and income from people on fixed incomes to other groups in the economy. This effect can be particularly hard on retirees or other people who depend on fixed incomes to support themselves. Therefore, this option is the correct answer.

22-A:

A: If the prices of imports rise by more than exports, this represents that the denominator is higher than the numerator, representing a fall in "the terms of trade"

B: This is incorrect as TOT is not about receipts or payments.

C: If the value of imports, or in other words, import expenditures, rise by more than the value of exports, representing export revenues, this represents a Balance of Trade deficit "and not terms of trade"

D: The qty of imports rising by more than the qty of exports would not impact TOT since terms of trade is the ratio of export prices to the ratio of import prices

23-B:

A. If country X is seeking to protect its infant industries: In this scenario, the imposition of a tariff would be favorable to country X. By protecting its infant industries from foreign competition, the tariff gives them an opportunity to grow and develop and flourish, since they would not be able to survive **the tough competitive pressures of large firms who benefit from substantial economies of scale.**

C. If imports from country Y have been dumped in country X: When goods are "dumped" in a country, it means that they are sold in that country at prices lower than their production cost or the price in the exporting country. In this case, the imposition of a tariff would be favorable to country X, as it helps **prevent unfair competition and supports its domestic industries.**

D. If imports of manufactured goods from country Y are price elastic: When imports are price elastic, it means that a change in price leads to a relatively large change in demand. If imports of manufactured goods from country Y are price elastic, it implies that a tariff would significantly reduce the demand for those goods **and cause consumption to switch to domestically manufactured goods, acting as an "effective expenditure switching policy"**

In this case, the imposition of a tariff could be favorable to country X as it reduces imports and promotes domestic production.

B-However, option B is the correct answer. If country X lacks the capacity to produce import substitutes, it means that country X does not have the ability to produce alternative goods locally that can replace the imports from country Y, **due to for example: price-inelastic supply.** In this situation, the imposition of a tariff would be unfavorable to country X because it would raise the prices of goods without providing suitable domestic alternatives. **This would result in higher costs for consumers and businesses in country X, potentially leading to reduced competitiveness.**

24-A:

We are interested in an option that causes an increase in Aggregate demand and a rise in Aggregate supply

Option A, which suggests a decrease in income tax and in the cost of production, would help achieve an increase in aggregate demand and a rise in aggregate supply.

Decreasing income tax means that individuals and businesses have more disposable income, which can lead to increased spending on goods and services. This increased consumption contributes to higher aggregate demand.

Simultaneously, reducing the cost of production for businesses can lead to a rise in aggregate supply.

Now let's examine why the other options are incorrect:

Option B suggests a decrease in interest rates and an increase in the cost of production. While lower interest rates can stimulate borrowing and investment, leading to increased aggregate demand, an increase in the costs of production would lower Aggregate supply

Option C proposes an increase in income tax and in the cost of production. Increasing income tax reduces individuals' disposable income, which can dampen consumption and decrease aggregate demand. Additionally, raising the cost of production, will cause a fall in Aggregate supply.

Option D suggests an increase in interest rates and a decrease in the cost of production. Higher interest rates can discourage borrowing and investment, potentially leading to decreased aggregate demand. While a decrease in the cost of production may stimulate Aggregate supply, overall this option becomes incorrect.

25-A:

25 The table shows changes in the population, price level and Gross Domestic Product (GDP) of a country.

25A

	year 1	year 2	% change
population (millions)	50	55	10%
Consumer Price Index	100	120	20%
nominal GDP (\$ billions)	400	480	20%

What happened to real GDP and real GDP per head between year 1 and year 2?

	real GDP	real GDP per head
A	no change ✓	fell ✓
B	no change ✓	rose ✗
C	rose ✗	fell
D	rose ✗	rose

Real GDP per head
 $\Rightarrow \text{Real GDP} = \frac{\text{Nominal GDP}}{\text{CPI}}$
 $\Rightarrow \frac{480}{120} = 4$
 $\frac{400}{100} = 4$
 Real GDP per head remains unchanged.

Real GDP per head falls by 10%

% change in Real GDP = % change in Nominal GDP - % change in CPI
 $+20\% - 20\% = 0\%$
 (rate of inflation)

*Real GDP remained unchanged.

26-C:

26 The table shows selected balances from a country's balance of payments account in 2016.

	\$US billions
trade in goods	(-30)
trade in services	(+10)
primary income balance	(+10)
secondary income balance	(-8)
capital & financial flow	+15

Trade in goods + Trade in services + primary income balance + secondary income balance = Current account
 ignore capital & financial flow

What was the country's current account balance in 2016?

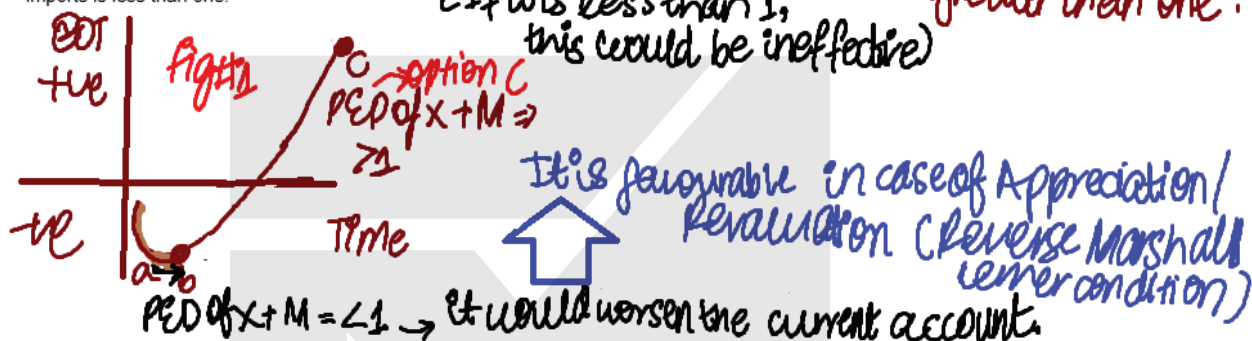
- A -\$3 billion B -\$10 billion C -\$18 billion D -\$20 billion

$-30 + 10 + 10 - 8 = -18$
 -18 billion \$

27-C:

27 What does the Marshall-Lerner condition state must be present for a depreciation of a currency to cause an improvement in the current account balance?

- ☒ A The price elasticity of demand for exports and the price elasticity of demand for imports are both greater than one.
- ☒ B The price elasticity of demand for exports and the price elasticity of demand for imports are both less than one.
- ☒ C The sum of the price elasticity of demand for exports and the price elasticity of demand for imports is greater than one.
- ☒ D The sum of the price elasticity of demand for exports and the price elasticity of demand for imports is less than one.



28-D:

A: Because of a rise in income taxes, when disposable incomes reduce, there is a fall in consumption expenditure, even that on imported goods falls, which will reduce import expenditures, and in turn reduce "deficit on the current account of Balance of Payments"

B: A fall in government spending relative to tax revenues that are rising due to contractionary fiscal policy measures being employed, would lead to "the budget deficit being reduced"

C: : Because of a rise in income taxes when disposable incomes reduce, there is a fall in consumption expenditure, this leads to a fall in Aggregate demand, and due to surplus or under-utilization of resources, there is a fall in **the general price level, representing that "demand pull inflation is reduced"**

D: Because of a fall Aggregate demand as explained above, there is a fall in production and in turn demand for labor, causing a rise in unemployment, specifically "demand-deficient unemployment", thus making this correct.

29-A:

"The government reducing the minimum income level" at which people start to pay income tax is representing a situation whereby the taxable allowance has increased (representing the income level that is not taxed), which will create incentive effects for workers, encouraging them to join the workforce or work overtime or seek promotion. This is why, this represents a "supply-side policy"

Since tax rates are manipulated, this represents a “fiscal policy measure” put in effect as well.

There is nothing told regarding money supply, interest rate or exchange rate, which means that “monetary policy measures are not put in effect”

This is why, option A becomes correct.

30-A:

A: Depreciation after having made exported goods appear relatively cheaper and imported goods relatively expensive, would lead to an extension in quantity demanded of exported goods by a relatively higher percentage and a contraction in quantity demanded of imported goods by a relatively higher percentage, in the long run when the demand for imports and exports is elastic, leading to a rise in export revenues relative to import expenditures, contributing to a Balance of Trade surplus, and since this represents net injections in to the circular flow, this would lead to a rise in Aggregate demand, which would increase production and in turn demand for labour, helping to reduce unemployment.

But, when Aggregate demand exceeds Aggregate supply, this would lead to shortages and in turn a rise in the general price level, representing "demand pull inflation".

: B and D-A higher direct taxation would cause a fall in disposable income and in turn consumption, similar to a rise in interest rates which after having increased the incentive to save, would reduce consumption, in turn causing a fall in Aggregate demand, which would lead to a fall in production, demand for labor and a rise in unemployment.

And when Aggregate demand reduces, there is a surplus or under-utilization of resources causing a fall in general price level, or in other words demand-pull inflation.

: C-Higher import tariffs can even though cause a rise in import expenditures when the demand for imports is inelastic, causing a rise in costs, and in turn reduction in Aggregate supply causing a rise in cost push inflation.

But, since this situation is associated with falling employment or in other words, rising unemployment, which gives rise to a situation of "stagflation", this is why, this option becomes incorrect.